

Skill Arena - Phase 7 Document 6

Challenge Economy, Risk Management, Reward Balancing & Sustainability Architecture

Document Purpose

Define the economic rules that connect gameplay, rewards, treasury protection and long-term platform sustainability.

Business Objective

Ensure Skill Arena remains financially sustainable while providing attractive rewards and competitive experiences.

Core Philosophy

Every reward, payout and incentive must be supported by treasury reserves and sustainable economic models.

Challenge Economy Engine

Central system responsible for balancing entry fees, rewards, treasury exposure and profitability.

Token Economy Integration

All gameplay activities integrate with the platform token and wallet ecosystem.

PvP Entry Structure

Players enter matches using tokens. Platform fees are collected before prize pools are formed.

PvP Platform Fee Model

Initial design uses a 10 percent platform fee from each participant entry before prize pool allocation.

PvP Prize Pool Logic

Remaining value after platform fees forms the challenge prize pool.

House Challenge Economy

House challenges use predefined reward structures governed by treasury and risk controls.

House Exposure Controls

Maximum payout exposure limits applied at category, player and platform levels.

Reward Balancing Engine

Continuously evaluates reward structures against treasury performance and player activity.

Treasury Protection Rules

No reward system may create liabilities exceeding available reserves.

Dynamic Risk Controls

Platform may adjust challenge availability, reward levels or exposure limits based on treasury health.

Token Sink Systems

Entry fees, premium features, cosmetics, marketplace purchases and future services remove tokens from circulation.

Inflation Prevention

Monitor token creation, reward issuance and ecosystem growth to prevent economic instability.

Season Reward Sustainability

Seasonal rewards funded through dedicated reserve allocations and treasury planning.

VIP Reward Sustainability

Premium benefits designed within sustainable financial limits.

Tournament Reward Controls

Tournament prizes subject to reserve planning, sponsorships and treasury approval.

Player Reward Lifecycle

Rewards earned, distributed, audited and tracked through wallet and ledger systems.

Risk Management Engine

Continuously evaluates treasury exposure, payout trends and economic health.

Risk Metrics

Treasury Coverage, House Exposure, Reward Liabilities, Token Circulation and Reserve Adequacy.

Forecasting Integration

Predict future liabilities, reward obligations and treasury requirements.

Compliance Integration

Reward distribution and financial operations remain compliant with platform governance policies.

Analytics Integration

Monitor profitability, engagement, retention and economic performance.

Monitoring Requirements

Track entry volumes, payout rates, reserve health and economic sustainability.

Audit Requirements

All economic calculations, payouts and treasury decisions permanently logged.

Acceptance Criteria

Platform economy remains fair, attractive and financially sustainable during long-term growth.